Himaayah Schools
ACADEMY

GUIDE

وَلَا تَجْعَلْ يَدَكَ مَغْلُولَةً إِلَىٰ عُنُقِكَ وَلَا تَبْسُطْهَا كُلَّ الْبَسْطِ

*"And do not make your hand chained to your neck, nor extend it completely." (al-Isrāʾ 17:29)*

# JAMB Economics

A UTME study guide: demand and supply, costs, markets, national income, money, trade, worked examples and a practice test.

بِسْمِ اللَّهِ الرَّحْمٰنِ الرَّحِيمِ

# Before you begin

Economics in the UTME mixes definitions, diagrams and short calculations: elasticity, costs, national income and the multiplier come up every year. Understand the ideas, learn to read the graphs, and practise the calculations until they are quick. This guide gives you the syllabus in six areas, the formulas and key facts, worked examples, the traps to avoid, an 8-week plan and a practice test.

| The UTME at a glance | |
|---|---|
| Subjects | Use of English and three subjects for your course. Economics is required for economics, accounting, banking and finance, business administration and many social science courses. |
| Questions | Use of English 60; each other subject 40; 180 questions in all, on computer (CBT). |
| Time | About two hours for all four papers, so roughly 40 seconds a question. You move freely between subjects. |
| Marking | Each subject is scored out of 100, for a total out of 400. There is no negative marking: never leave a question blank. |

### Check the official details

Exam rules and syllabuses can change from year to year. Always check the current JAMB brochure and the official Economics syllabus on the JAMB website or e-facility portal, and follow them where they differ from this guide.

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## Part 1 The syllabus at a glance

Study from the **JAMB syllabus**, not only from your school notes: every UTME question comes from a topic on it. The topics fall into these areas:

| Area | Topics |
|---|---|
| Basic concepts | Scarcity, choice, scale of preference and opportunity cost; production possibility curve; economic systems (capitalist, socialist, mixed); tools of analysis: tables, graphs, mean, median, mode |
| Demand, supply and prices | Laws of demand and supply; shifts and movements; elasticity of demand and supply; equilibrium price; price control and rationing; consumer behaviour and utility |
| Production, costs and markets | Factors of production and their rewards; laws of returns; costs (fixed, variable, average, marginal) and revenue; perfect competition, monopoly, monopolistic competition and oligopoly; business organisations |
| National income, money and banking | GDP, GNP, NNP and methods of measuring them; money and its functions; demand for and supply of money; inflation and deflation; commercial banks, the Central Bank and monetary policy; financial markets |
| Public finance and international trade | Taxation (direct, indirect, progressive, regressive), budgets and public debt; comparative advantage; terms of trade; balance of payments; exchange rates; ECOWAS and international economic organisations |
| Development and the Nigerian economy | Economic growth and development; development planning; agriculture, industry and petroleum in Nigeria; population; unemployment |

Demand and supply, costs and revenue, and national income produce the most calculation questions. Draw the graphs yourself: JAMB often asks you to read one.

## Part 2 Formulas and key facts

### Elasticity, costs and revenue

| Quantity | Formula |
|---|---|
| Price elasticity of demand (PED) | PED = % change in quantity demanded ÷ % change in price. Elastic if > 1, inelastic if < 1, unitary if = 1 |
| Income and cross elasticity | YED = % change in Qd ÷ % change in income; XED = % change in Qd of A ÷ % change in price of B (positive: substitutes; negative: complements) |
| Costs | TC = TFC + TVC; AC = TC ÷ Q; AVC = TVC ÷ Q; AFC = TFC ÷ Q; MC = change in TC ÷ change in Q |
| Revenue | TR = P × Q; AR = TR ÷ Q (= price); MR = change in TR ÷ change in Q |
| Profit | Profit = TR − TC; profit is maximised where MR = MC |

### National income and money

| Quantity | Formula or fact |
|---|---|
| GDP (expenditure method) | GDP = C + I + G + (X − M) |
| GNP and NNP | GNP = GDP + net income from abroad; NNP = GNP − depreciation |
| Per capita income | National income ÷ population |
| Real income | Nominal income adjusted for changes in the price level |
| Propensities and multiplier | MPC + MPS = 1; multiplier k = 1 ÷ (1 − MPC) = 1 ÷ MPS |
| Functions of money | Medium of exchange; measure of value (unit of account); store of value; standard of deferred payment |
| Tools of monetary policy (CBN) | Monetary Policy Rate; open market operations; cash reserve ratio; liquidity ratio; selective credit control |
| Quantity theory of money | MV = PT (Irving Fisher) |

### Key ideas to know

| Idea | In short |
|---|---|
| Opportunity cost | The next best alternative given up. |
| Law of diminishing returns | Adding more of a variable factor to a fixed factor eventually adds less and less output. |
| Comparative advantage | A country should specialise in what it produces at the lowest opportunity cost (David Ricardo). |
| Division of labour | Breaking production into tasks; raises efficiency (Adam Smith). |
| Inflation | A persistent rise in the general price level: demand-pull or cost-push. |
| Balance of payments | Record of a country's transactions with the rest of the world: current, capital and financial accounts. |

## Part 3 Worked examples

**Example 1.** The price of a good rises from ₦100 to ₦120 and the quantity demanded falls from 50 to 40 units. Find the price elasticity of demand.

→ % change in price = 20/100 × 100 = 20%

→ % change in quantity = 10/50 × 100 = 20%

→ PED = 20 ÷ 20

**Answer:** 1 (unitary elasticity)

**Example 2.** If the marginal propensity to consume is 0.8, find the multiplier.

→ k = 1 ÷ (1 − MPC) = 1 ÷ 0.2

**Answer:** 5

**Example 3.** A firm's total cost is ₦5,000 when it produces 100 units. Find the average cost.

→ AC = TC ÷ Q = 5,000 ÷ 100

**Answer:** ₦50

**Example 4.** A firm sells 200 units at ₦30 each. Its total cost is ₦4,500. Find total revenue and profit.

→ TR = 30 × 200 = ₦6,000

→ Profit = 6,000 − 4,500

**Answer:** TR ₦6,000; profit ₦1,500

**Example 5.** C = ₦500bn, I = ₦200bn, G = ₦300bn, X = ₦150bn, M = ₦100bn. Find GDP.

→ GDP = C + I + G + (X − M)

→ = 500 + 200 + 300 + 50

**Answer:** ₦1,050bn

**Example 6.** A student has ₦2,000 and must choose between a textbook and a pair of shoes. She buys the textbook. What is her opportunity cost?

→ Opportunity cost is the alternative forgone.

**Answer:** The pair of shoes

**Example 7.** Which market structure has a single seller and no close substitutes?

→ A monopoly is one seller with barriers to entry.

**Answer:** Monopoly

**Example 8.** A tax whose rate rises as income rises is:

→ Progressive tax takes a larger percentage from higher incomes.

**Answer:** Progressive

**Example 9.** When the Central Bank sells government securities to the public, the money supply:

→ Buyers pay with money, which leaves circulation.

**Answer:** Falls

## Part 4 Traps that cost marks

| Trap | What to do |
|---|---|
| Movement versus shift | A change in the good's own price moves along the curve; other factors (income, tastes) shift the curve. |
| Using absolute changes for elasticity | Elasticity uses percentage changes. |
| Confusing MPC and MPS in the multiplier | k = 1 ÷ MPS. If MPC = 0.75, MPS = 0.25 and k = 4. |
| GDP and GNP | GNP adds net income from abroad; for Nigeria it is usually below GDP. |
| Fixed and variable costs | Rent is fixed; raw materials are variable. Fixed costs exist even at zero output. |
| Reading graphs too quickly | Check the labels on both axes before answering. |

## Part 5 An 8-week plan

Start at least eight weeks before the exam. Each week: learn the topics, make short notes and solve past questions under time. Keep one day a week for revision.

| Week | Focus | Practice |
|---|---|---|
| 1 | Basic concepts, PPC, economic systems | Definitions; 30 questions |
| 2 | Demand, supply, elasticity and price control | Draw every graph; calculations |
| 3 | Production, costs and revenue | Cost tables and calculations |
| 4 | Market structures and business organisations | Comparison tables |
| 5 | National income, money and inflation | Formula drill; 30 questions |
| 6 | Banking, monetary policy and public finance | Past questions |
| 7 | International trade, development and the Nigerian economy | Past questions; key facts |
| 8 | Full revision and mock exams | Two full timed papers |

### Exam-day reminders

Read every option before choosing. Eliminate the clearly wrong ones first.

Do not spend more than a minute on one question: flag it and come back.

Answer every question; there is no penalty for a wrong answer.

Check that your answers are saved before you submit, and keep an eye on the clock for all four subjects.

## Test Practice test

Give yourself 10 minutes for these 15 questions, as in the real exam. The answers follow.

**1. Opportunity cost is:**

a) The money price of a good  b) The next best alternative forgone  c) The cost of production  d) A fixed cost

**2. If PED is greater than 1, demand is:**

a) Elastic  b) Inelastic  c) Unitary  d) Perfectly inelastic

**3. If MPC = 0.75, the multiplier is:**

a) 0.25  b) 1.33  c) 4  d) 7.5

**4. Total revenue is:**

a) Price × quantity  b) Cost × quantity  c) Profit − cost  d) Price ÷ quantity

**5. Profit is maximised where:**

a) TR = TC  b) AR = AC  c) MR = MC  d) MC = AC

**6. An increase in consumers' income, for a normal good, will:**

a) Shift the demand curve to the left  b) Shift the demand curve to the right  c) Move along the curve  d) Have no effect

**7. Which is a function of money?**

a) Medium of exchange  b) Factor of production  c) Source of taxation  d) Means of production

**8. The reward for land as a factor of production is:**

a) Wages  b) Interest  c) Profit  d) Rent

**9. Inflation caused by rising production costs is:**

a) Demand-pull  b) Hyperinflation  c) Cost-push  d) Deflation

**10. The theory of comparative advantage is associated with:**

a) Adam Smith  b) David Ricardo  c) Keynes  d) Malthus

**11. A tax on goods and services such as VAT is:**

a) Direct  b) Indirect  c) Progressive  d) A poll tax

**12. GDP = C + I + G + (X − M) is the:**

a) Income method  b) Output method  c) Expenditure method  d) Value-added method

**13. Goods consumed together, like cars and petrol, are:**

a) Complements  b) Substitutes  c) Inferior goods  d) Giffen goods

**14. Which body controls monetary policy in Nigeria?**

a) The Ministry of Finance  b) The CBN  c) The NDIC  d) The FIRS

**15. A market with many sellers of an identical product is:**

a) Monopoly  b) Oligopoly  c) Perfect competition  d) Monopsony

| No. | Answer | No. | Answer |
|---|---|---|---|
| 1 | b) Next best alternative forgone | 9 | c) Cost-push |
| 2 | a) Elastic | 10 | b) David Ricardo |
| 3 | c) 4 | 11 | b) Indirect |
| 4 | a) Price × quantity | 12 | c) Expenditure method |
| 5 | c) MR = MC | 13 | a) Complements |
| 6 | b) Shift right | 14 | b) The CBN |
| 7 | a) Medium of exchange | 15 | c) Perfect competition |
| 8 | d) Rent | | |

## Recommended textbooks

- **Fundamentals of Economics** or **Comprehensive Economics** (the economics textbook your school uses).
- Other texts listed in the current JAMB Economics syllabus.
- **Past questions**: solve at least the last ten years' UTME Economics questions, timing yourself, and study every one you get wrong.


### Prepare with the Himaayah Academy

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وَمَا تَوْفِيقِي إِلَّا بِاللَّهِ

"And my success is only through Allah." (Hūd 11:88)

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# Understand the graphs, master the sums.

This guide from the Himaayah Academy helps UTME candidates prepare for Economics with the formulas, the key ideas and the calculations that come every year.

- The Economics syllabus in six areas
- Elasticity, costs, revenue and national income formulas
- Money, banking and monetary policy
- Nine worked examples
- An 8-week plan and a 15-question practice test


## Prepare with the Himaayah Academy

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